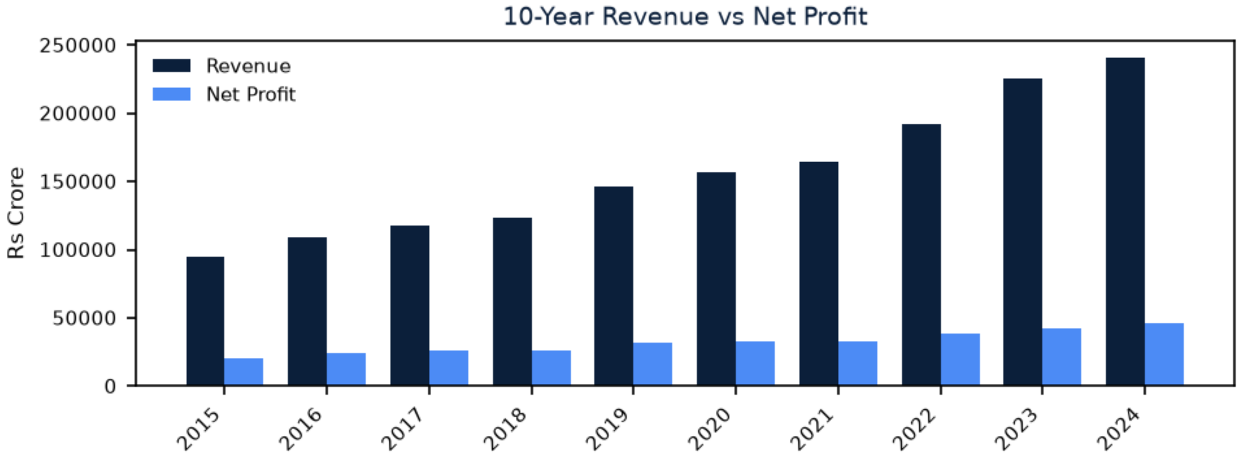
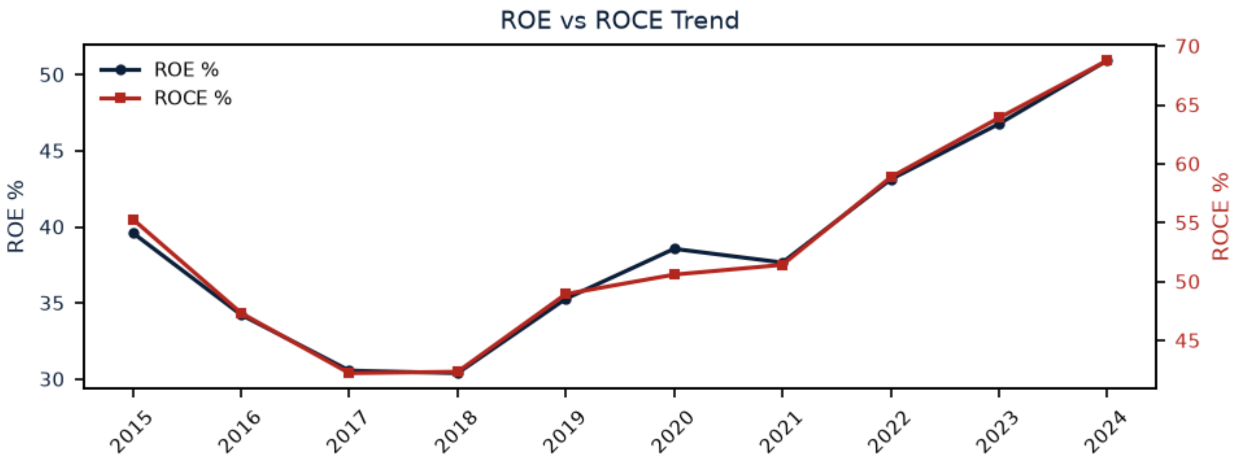
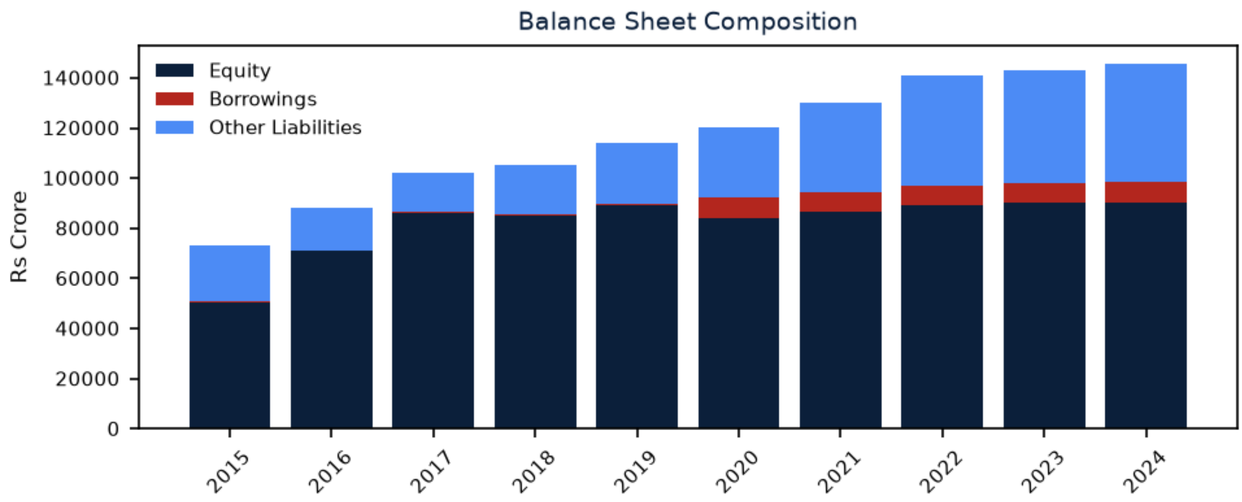
Tata Consultancy Services Ltd

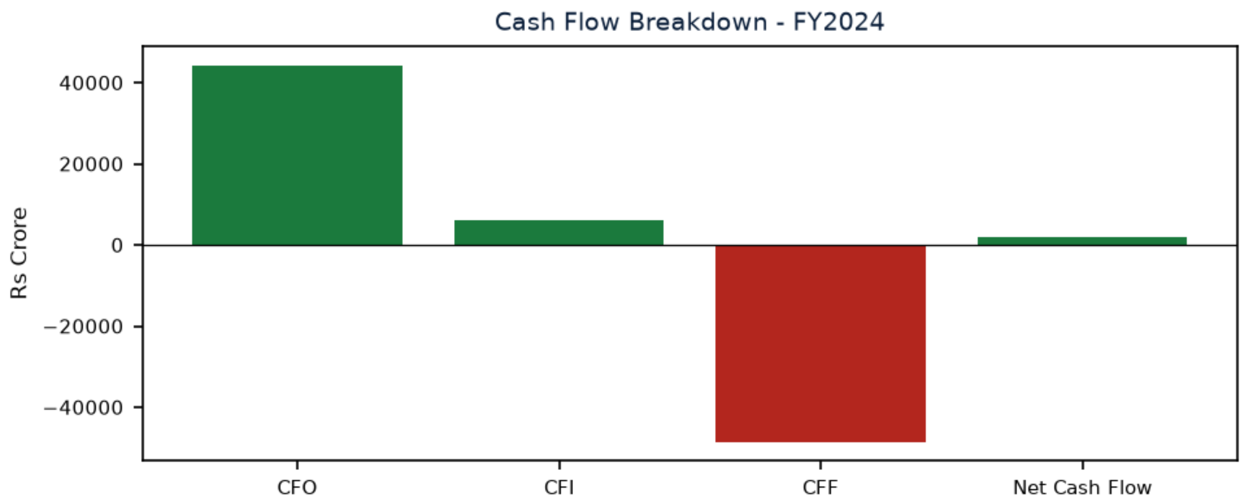
TCS

50.9% ROE	**68.8%** ROCE	**0.1x** D/E
26.7% OPM	**10.5%** Revenue CAGR 5yr	**7.9%** PAT CAGR 5yr









Pros

+ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
+ Very high interest coverage ratio reflects negligible financial stress from debt servicing
+ Return on equity improving for 3 consecutive years shows strengthening business quality
+ Strong free cash flow generation over 5 years signals healthy business fundamentals
+ Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation Pattern

Liquidating Assets